

1 **SENATE FLOOR VERSION**

2 April 20, 2026

3 COMMITTEE SUBSTITUTE
4 FOR ENGROSSED
5 HOUSE BILL NO. 4305

By: Blair of the House

and

6 Frix of the Senate

7
8
9 An Act relating to ad valorem tax; defining terms;
10 providing for application of act; prescribing
11 valuation method for determining fair cash value of
12 certain property; requiring the county assessor to
13 determine certain process; requiring certain
14 organizations to deliver certain audit by certain
15 date; authorizing assessor to extend deadline;
16 amending 68 O.S. 2021, Section 2887, as amended by
17 Section 1, Chapter 260, O.S.L. 2023 (68 O.S. Supp.
18 2025, Section 2887), which relates to property exempt
19 from ad valorem taxation; prohibiting certain clause
20 to be construed to prohibit certain compensation;
21 updating statutory language; updating statutory
22 references; providing for codification; and providing
23 an effective date.
24

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there
is created a duplication in numbering, reads as follows:

A. As used in this act:

1 1. "Active construction" means any property that is being
2 constructed or renovated that has yet to place in service all of its
3 buildings;

4 2. "Audit" means an audit of the financial operations of the
5 property provided by a third-party certified public accountant or
6 financial statements certified by the organization to be true and
7 accurate;

8 3. "Lease-up" means any property that has an actual occupancy
9 of less than ninety percent (90%), that is under or has been under
10 active construction, and is in the process of leasing units;

11 4. "Net operating income" means gross restricted rent income
12 from the property minus operating expenses and replacement reserve
13 deposits, before debt service, depreciation, amortization, capital
14 expenditures, and income taxes;

15 5. "Organization" means a property owner meeting the
16 requirements under subsection B of this section; and

17 6. "Restricted rent" means the actual rental rates that are
18 restricted by the programs described in subsection B of this
19 section.

20 B. This act shall only apply to real property owned by an
21 organization:

22 1. For the purpose of renting the property to a low-income or
23 moderate-income individual or family who satisfies the income
24 eligibility requirements of the organization;

1 2. That was financed in whole or in part through allocation of
2 the federal low-income housing tax credit authorized pursuant to 26
3 U.S.C., Section 42, and is subject to a land use agreement or
4 regulatory agreement that has not expired or been terminated;

5 3. That does not receive exempt treatment under Section 2887 of
6 Title 68 of the Oklahoma Statutes; and

7 4. The owner of which has not entered into any agreement with
8 any taxing unit to make payments to the taxing unit instead of taxes
9 on the property.

10 C. In determining the fair cash value of a property described
11 in subsection B of this section, the county assessor shall determine
12 the fair cash value of property that is under active construction or
13 lease-up on January 1 of the current tax year in the manner provided
14 by Section 8 of Article X of the Oklahoma Constitution using the
15 restricted rent income approach method, provided that the county
16 assessor shall estimate the net operating income of the property
17 based on the projected restricted rent income and expenses of the
18 organization for the first full year of operation, as adjusted to
19 reflect the average occupancy during the lease-up period.

20 D. In determining the fair cash value for a property for any
21 subsequent tax year, the county assessor shall determine the fair
22 cash value of the property based upon the restricted rent income
23 approach method utilizing the net operating income of the property
24 from the audit provided by the organization.

1 E. In determining the fair cash value of property described in
2 subsection B of this section, the county assessor shall not consider
3 the value or any amount of any federal or state low-income housing
4 tax credits as a component of the fair cash value or income
5 attributable to the property.

6 F. The county assessor shall determine a formal process for
7 determining market-derived capitalization rates to be applied to the
8 net operating income of the property based on project and investor
9 data for comparable properties with restricted rents.

10 G. Not later than May 1 of each year, the organization shall
11 deliver to the county assessor the audit for the preceding year.
12 The county assessor may extend the deadline for good cause shown.

13 SECTION 2. AMENDATORY 68 O.S. 2021, Section 2887, as
14 amended by Section 1, Chapter 260, O.S.L. 2023 (68 O.S. Supp. 2025,
15 Section 2887), is amended to read as follows:

16 Section 2887. The following property shall be exempt from ad
17 valorem taxation:

18 1. All property of the United States, and such property as may
19 be exempt by reason of treaty stipulations existing at statehood
20 between the Indians and the United States government, or by reason
21 of federal laws in effect at statehood, during the time such
22 treaties or federal laws are in force and effect. In instances
23 where a federal agency has obtained title to property through
24 foreclosure, voluntary or involuntary liquidation or bankruptcy,

1 which was previously subject to ad valorem taxation, the property
2 may continue to be assessed for ad valorem taxes if such federal
3 agency has agreed to pay such taxes;

4 2. All property of this state, and of the counties, school
5 districts, and municipalities of this state, including property
6 acquired for the use of such entities pursuant to the terms of a
7 lease-purchase agreement which provides for the passage of title or
8 the release of security interest, if applicable, upon payment of all
9 rental payments and an additional nominal amount;

10 3. All property of any college or school, provided such
11 property is devoted exclusively and directly to the appropriate
12 objects of such college or school within this state and all property
13 used exclusively for nonprofit schools and colleges;

14 4. The books, papers, furniture and scientific or other
15 apparatus pertaining to any institution, college or society referred
16 to in paragraph 3 of this section, and devoted exclusively and
17 directly for the purpose above contemplated, and the like property
18 of students in any such institution or college, while such property
19 is used for the purpose of their education;

20 5. All fraternal orphan homes and other orphan homes;

21 6. All property used for free public libraries, free museums,
22 public cemeteries, or free public schools;

23 7. All property used exclusively and directly for fraternal or
24 religious purposes within this state. For purposes of this

1 paragraph, an exemption based on religious purposes includes real
2 property owned by a church which allows its premises to be used by
3 an entity if such entity is not required to make rental payments to
4 the church, is not required to execute a formal lease agreement with
5 respect to its occupancy of the church premises and conducts
6 instruction of children from any or all grades for ages preschool
7 through twelfth grade, including religious instruction consistent
8 with the doctrines of the church the premises of which are being
9 used for that purpose. For purposes of this paragraph, a
10 requirement by a church to be reimbursed by the entity for utility
11 expenses, janitorial services or similar expenses shall not be a
12 basis upon which to remove or deny the exempt status of church
13 property. Exempt status of church property shall not be removed nor
14 shall church property be allocated between taxable and exempt status
15 based on the use of church premises by an entity as described by
16 this paragraph.

17 For purposes of administering the exemption authorized by this
18 section and in order to determine whether a single family
19 residential property is used exclusively and directly for fraternal
20 or religious purposes, the fair cash value of a single family
21 residential property, for which an exemption is claimed as
22 authorized by this ~~subsection~~ section, in excess of Five Hundred
23 Thousand Dollars (\$500,000.00) for the applicable assessment year
24 shall not be exempt from taxation;

1 8. All property of any charitable institution organized or
2 chartered under the laws of this state as a nonprofit or charitable
3 institution, provided the net income from such property is used
4 exclusively within this state for charitable purposes and no part of
5 such income inures to the benefit of any private stockholder,
6 including property which is not leased or rented to any person other
7 than a governmental body, a charitable institution or a member of
8 the general public who is authorized to be a tenant in property
9 owned by a charitable institution under Section 501(c)(3) of the
10 Internal Revenue Code of 1986, as amended, and which includes, but
11 is not limited to, an institution that either:

12 a. additionally satisfies the income standards set forth
13 in Internal Revenue Service Revenue Procedure 96-32,
14 which may be audited by the county assessor of the
15 applicable county, in addition to other requirements
16 of this subparagraph, as a condition of obtaining and
17 maintaining the exemption, if:

18 (1) the property provides residential rental
19 accommodations regardless of whether services or
20 meals are provided, and

21 (2) the property:

22 (a) is occupied as of the applicable January 1
23 assessment date if the structure is a
24 single-family dwelling, or

1 (b) has an average seventy-five percent (75%)
2 occupancy rate, based upon the total number
3 of units suitable for occupancy, during the
4 calendar year preceding the applicable
5 January 1 assessment date if the property
6 contains multiple structures suitable for
7 ~~multi-family~~ multifamily housing. The owner
8 of any property subject to the occupancy
9 requirements prescribed herein shall submit
10 a report to the county assessor of the
11 county in which the property is located no
12 later than December 15 each year regarding
13 the occupancy rate for the preceding eleven
14 (11) months. If the report indicates that
15 the average occupancy rate was less than
16 seventy-five percent (75%), the county
17 assessor shall determine the taxable value
18 of the property for the succeeding
19 assessment year and the property shall not
20 be exempt for any subsequent assessment year
21 unless the average occupancy rate is at
22 least seventy-five percent (75%) during the
23 succeeding eleven-month period. Except as
24 provided in Section 178.6 of Title 60 of the

Oklahoma Statutes, no asset consisting of a single-family or ~~multi-family~~ multifamily dwelling unit owned by an entity the property of which would otherwise be exempt pursuant to this subparagraph ~~a of this paragraph~~ shall be exempt from ad valorem taxation if any such dwelling unit was improved with or acquired with any portion of proceeds from the sale of obligations issued by any entity organized pursuant to Section 176 of Title 60 of the Oklahoma Statutes if the interest income derived from such obligations is exempt from federal income tax, or

- b. (1) for a facility constructed prior to January 1, 2006, is a continuum of care retirement community providing housing for the aged, licensed under Oklahoma law, owned by a nonprofit entity recognized by the Internal Revenue Service as a Section 501(c)(3) tax-exempt entity and located in a county with a population of more than five hundred thousand (500,000) according to the latest Federal Decennial Census, and

1 (2) (a) for a facility in which construction was
2 completed on or after January 1, 2006, is:

3 i. a continuum of care retirement
4 community providing housing for the
5 aged, licensed under Oklahoma law,

6 ii. owned by a nonprofit entity recognized
7 by the Internal Revenue Service as a
8 Section 501(c)(3) tax-exempt entity,
9 and

10 iii. located in any county of the state
11 regardless of population, or

12 (b) for a facility other than a facility
13 described by division (1) of this
14 subparagraph ~~b of this paragraph~~ and which
15 is partially or fully constructed prior to
16 January 1, 2006, is:

17 i. owned and occupied on or after January
18 1, 2006, by an entity that operates a
19 continuum of care retirement community
20 providing housing for the aged,
21 licensed under Oklahoma law,

22 ii. owned by a nonprofit entity recognized
23 by the Internal Revenue Service as a
24

1 Section 501(c)(3) tax-exempt entity,
2 and

3 iii. is located in any county of the state
4 regardless of population.

5 For the purposes of this paragraph, the requirement that no part of
6 such income inures to the benefit of any private stockholder or
7 individual shall not be construed to prohibit the payment of
8 reasonable and necessary compensation for services rendered,
9 including but not limited to development, construction, financing,
10 or management services, provided such compensation is consistent
11 with fair market value and in furtherance of the charitable purpose
12 of the property;

13 9. All property used exclusively and directly for charitable
14 purposes within this state, provided the charity using ~~said~~ such
15 property does not pay any rent or remuneration to the owner thereof
16 unless the owner is a charitable institution described in ~~Section~~
17 ~~501(c)(3) of the Internal Revenue Code,~~ 26 U.S.C., Section
18 501(c)(3), or a veterans' organization described ~~in Section~~
19 ~~501(c)(19) of the Internal Revenue Code,~~ 26 U.S.C., Section
20 501(c)(19);

21 10. All property of any hospital established, organized and
22 operated by any person, partnership, association, organization,
23 trust, or corporation, as a nonprofit and charitable hospital,
24 provided the property and net income from such hospital are used

1 directly, solely, and exclusively within this state for charitable
2 purposes and that no part of such income shall inure to the benefit
3 of any individual, person, partner, shareholder, or stockholder, and
4 provided further that such hospital facilities shall be open to the
5 public without discrimination as to race, color or creed and
6 regardless of ability to pay, and that such hospital is licensed and
7 otherwise complies with the laws of this state relating to the
8 licensing and regulation of hospitals;

9 11. All libraries and office equipment of ministers of the
10 Gospel actively engaged in ministerial work in ~~the State of Oklahoma~~
11 this state, where ~~said~~ such libraries and office equipment are being
12 used by ~~said~~ such ministers in their ministerial work, shall be
13 deemed to be used exclusively for religious purposes and are
14 declared to be within the meaning of the term "religious purposes"
15 as used in ~~Article X~~, Section 6 of Article X of the Oklahoma
16 Constitution of the State of Oklahoma;

17 12. Household goods, tools, implements and livestock of every
18 person maintaining a home, not exceeding One Hundred Dollars
19 (\$100.00) in value or One Thousand Dollars (\$1,000.00) in value if
20 ~~Article X~~, Section 6 of Article X of the Oklahoma Constitution
21 provides for an exemption in such amount; and in addition thereto,
22 there shall be exempt from taxation on personal property the further
23 sum of Two Hundred Dollars (\$200.00) to all enlisted and
24 commissioned personnel, whether on active duty or honorably

1 discharged, who served in the Armed Forces of the United States
2 during:

3 a. the Spanish-American War,
4 b. the period beginning on April 6, 1917, and ending on
5 July 2, 1921,

6 c. the period beginning on December 6, 1941, and ending
7 ~~on such date as the state of national emergency as~~
8 ~~declared by the President of the United States shall~~
9 ~~cease to exist~~ December 31, 1946, or

10 d. any other or future period during which a state of
11 national emergency shall have been or shall be
12 declared to exist by the Congress or the President of
13 the United States.

14 All surviving spouses made so by the death of such enlisted or
15 commissioned personnel, who are bona fide residents of this state,
16 shall be entitled to the above additional exemption provided in this
17 paragraph;

18 13. Family portraits;

19 14. All food and fuel provided in kind for the use of the
20 family not to exceed provisions for one (1) year's time, and all
21 grain and forage necessary to maintain for one (1) year the
22 livestock used to provide food for the family. No person from whom
23 pay is received or expected for board shall be considered a member
24 of the family within the intent and meaning of this paragraph;

1 15. All growing crops; and

2 16. All game animals, fowl and reptile, which are not being
3 grown for food or sale and which are kept exclusively for
4 propagation or exhibition, in private grounds or public parks in
5 this state.

6 SECTION 3. This act shall become effective January 1, 2027.

7 COMMITTEE REPORT BY: COMMITTEE ON REVENUE AND TAXATION
8 April 20, 2026 - DO PASS AS AMENDED BY CS
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